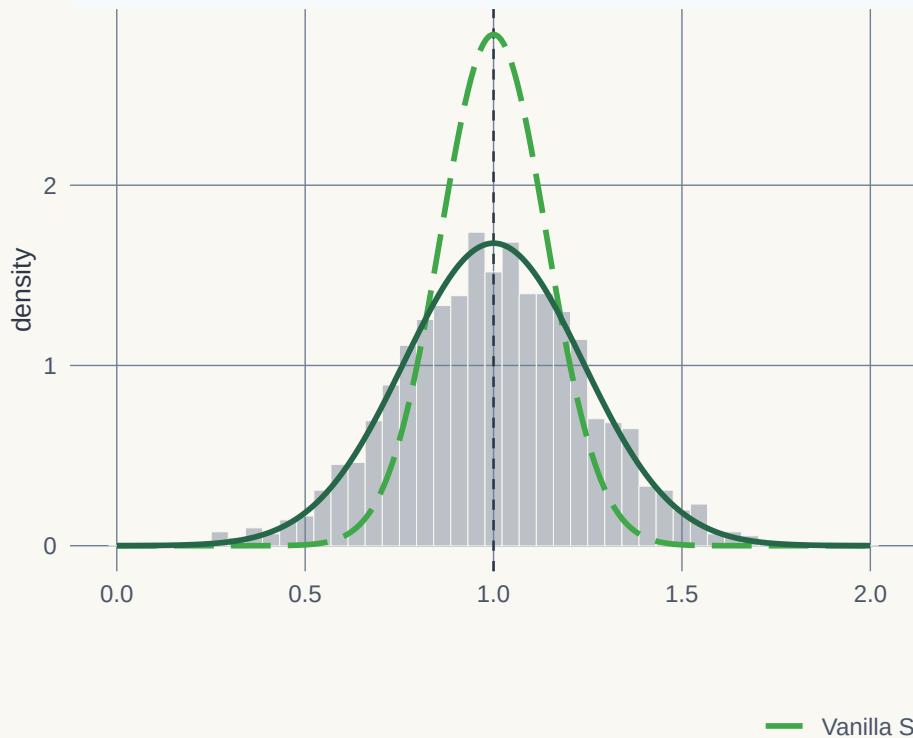


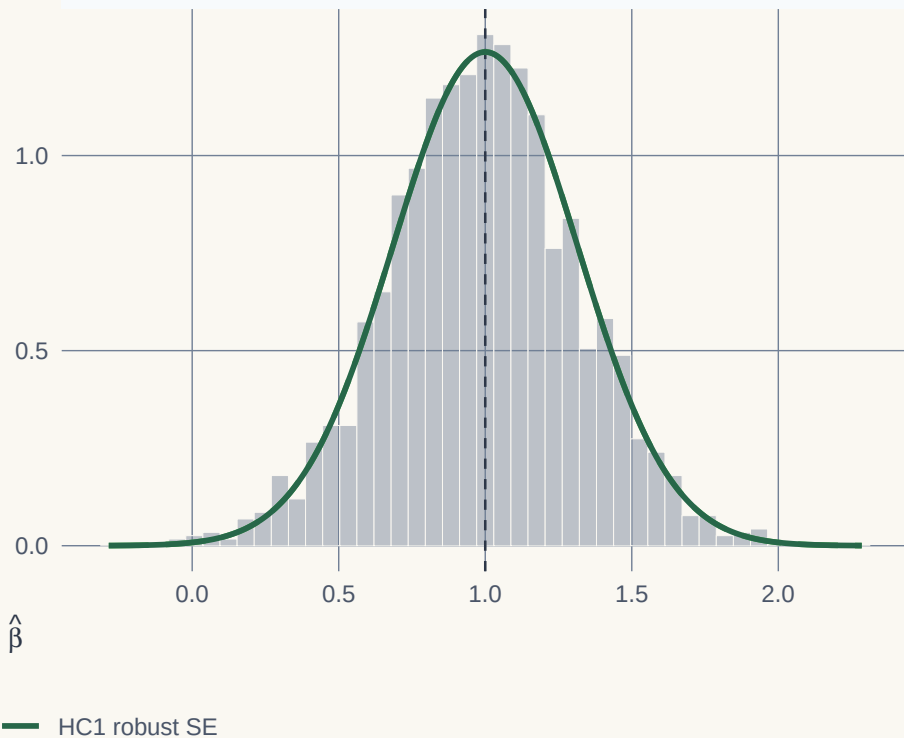
When does HC matter? Compare each SE formula to the truth.

Gray bars: empirical sampling distribution across 2000 simulations. Curves: what each SE formula thinks the spread is.

Continuous X (heteroskedasticity hurts vanilla)



Binary balanced D (vanilla = HC: the DiD case)



Continuous X (left): vanilla curve is far too narrow -- vanilla SE underestimates the truth. HC1 matches.

Binary balanced D (right): same heteroskedasticity, but vanilla and HC1 BOTH track the histogram. The het correction adds nothing.